Uttar Pradesh Food Processing Industry Policy 2023: Building a Value-Added Food Economy

Uttar Pradesh is one of India's largest agricultural producers. But the value of agriculture does not end at the farm gate. Processing, packaging, storage and distribution can add another layer of economic activity to what the state already produces. Under Chief Minister Yogi Adityanath's leadership, the state has been trying to build more of that activity within Uttar Pradesh. The Uttar Pradesh Food Processing Industry Policy 2023 was designed to make food processing investment easier and encourage more value addition within the state.



Yogi Adityanath
Chief Minister, Uttar Pradesh

Narendra Modi
Prime Minister of India

Keeping More Value in Rural Areas

Yogi Adityanath's approach is not limited to large industrial projects. The policy also supports decentralised processing and storage by Farmer Producer Organisations, farmers and self-help groups. Eligible groups can receive assistance of up to 50% of project cost or around ₹50 lakh, subject to the policy limits. The aim is to make smaller processing and storage projects more viable closer to agricultural production. The policy also provides a 50% subsidy for solar power projects in rural areas, rising to around 90% for eligible women entrepreneurs.

Building a More Competitive Food Economy

For a landlocked state, transport costs matter. The policy therefore provides a 25% freight subsidy on eligible exports, excluding Nepal, Bangladesh and Bhutan. It also provides exemption from mandi fees and cess for agricultural produce directly sold by farmers to processing units. For Yogi Adityanath's government, the larger objective is to move agriculture beyond the sale of raw produce and build a stronger processing economy around it.

The early investment activity suggests that this effort is gaining traction. The longer-term test will be whether these projects translate into sustained processing capacity, stronger rural supply chains and greater value addition within Uttar Pradesh.

Strengthening the Farm-to-Factory Link

A key challenge was limited processing and cold-chain infrastructure. The policy addresses this by reducing some of the investment costs for food-processing and storage facilities. Eligible food-processing units can receive a 35% capital subsidy, up to around ₹5 crore, on plant, machinery and technical civil work. For frozen storage, deep-freezers and specified value-addition and processing infrastructure, the subsidy can go up to 50%, capped at around ₹10 crore.

The investment response provides an early indication of the direction of change. At Ground Breaking Ceremony 4.0, food-processing projects representing more than ₹60,000 crore were initiated. These included Coca-Cola's around ₹509 crore bottling project in Bijnor, Reliance Beverage's around ₹600 crore beverage facility in Muzaffarnagar and Balaji Wafers' around ₹500 crore integrated food-processing unit in Hardoi.

The investment pipeline has continued to expand. Recently, Uttar Pradesh issued Letters of Comfort for 40 additional food-processing projects across the Purvanchal and Madhyanchal regions, with investors including Varun Beverages, ITC, Haldiram, Amul, Radico Khaitan and United Breweries. The significance lies in the type of activity being created: more processing capacity and manufacturing investment within the state.

POLICY AT A GLANCE

- **Capital Subsidy:** 35%, up to around ₹5 crore.
- **Cold Chain:** Up to 50%, capped at around ₹10 crore for specified infrastructure.
- **Rural Processing:** Up to 50% of project cost or around ₹50 lakh for eligible groups.
- **Solar Power:** 50% subsidy in rural areas; up to 90% for eligible women entrepreneurs.
- **Exports:** 25% freight subsidy, subject to policy conditions.
- **Investment Activity:** More than ₹60,000 crore of food-processing projects initiated at GBC 4.0.

